IOIT YOUTH PARLIAMENT ‘2026

STUDY GUIDE

ALL INDIA POLITICAL PARTIES MEET

Agenda

Deliberation on the Union Budget 2026 focusing on middle-class welfare through fiscal discipline, revenue growth, spending priorities, and economic stability.

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Letter from the Executive Board:

Dear Delegates,

Greetings!

It is with great enthusiasm that we welcome you to the All India Political Parties Meet (AIPPM) at IOIT Youth Parliament 2026. As your Executive Board, we look forward to facilitating a committee that encourages thoughtful debate, ideological clash, and effective negotiation—hallmarks of a true democratic setup.

AIPPM offers a unique platform where the diversity of India's political landscape comes alive through your voices. As delegates, your responsibility extends beyond representing party lines—it includes engaging with opposing views, seeking consensus where possible, and standing firm where necessary.
We urge you to come prepared with:

- A deep understanding of your assigned portfolios
- Awareness of current affairs
- Insight into the nuances of party ideologies

But more importantly, bring your confidence, curiosity, and willingness to learn. This committee is not just about debating—it's about understanding governance, policy-making, and the power of civil discourse.
As your Executive Board, we are committed to creating a fair, inclusive, and intellectually challenging environment. Should you have any queries or need assistance before or during the conference, please do not hesitate to reach out.

Wishing you the very best for the committee. We look forward to witnessing the energy, insight, and leadership you will bring to AIPPM.

Warm regards,
Rishabh Singh Moderator – AIPPM

Background Guide

1. The Budget prioritizes fiscal consolidation while sustaining growth, signaling that the government aims to reduce the fiscal deficit gradually without compromising capital expenditure. This reassures markets and protects the middle class from inflationary pressures and future tax shocks.

2. A calibrated income tax rationalization for the middle class improves disposable income, boosting consumption demand. However, the long-term impact depends on whether revenue buoyancy compensates for immediate tax relief.

3. Continued emphasis on capital expenditure over revenue expenditure reflects a growth-first strategy. Investment in infrastructure generates jobs and crowds in private investment, indirectly benefiting middle-class employment and income stability.

4. The Budget maintains commitment to debt sustainability under the framework of the Fiscal Responsibility and Budget Management Act, signaling macroeconomic prudence. Lower borrowing requirements can stabilize interest rates, reducing EMI burdens on housing and education loans.

5. Expansion of digital and formal economic measures broadens the tax base without raising rates. This structural approach reduces tax evasion and distributes the burden more equitably, benefiting compliant middle-class taxpayers.

6. Increased allocation to urban infrastructure and housing strengthens asset creation and real estate stability. For the middle class, this supports property values and improves quality of life through better civic amenities.

7. Healthcare and education investments reflect long-term human capital development. Strengthening public systems reduces private out-of-pocket expenditure, which is a significant financial strain on middle-income households.

8. A balanced subsidy rationalization strategy ensures fiscal space without abrupt welfare cuts. Targeted delivery reduces leakages while maintaining support for vulnerable groups, indirectly stabilizing social and economic conditions.

9. Coordination with the Reserve Bank of India on inflation management supports price stability. Controlled inflation protects savings, fixed incomes, and purchasing power of the salaried class.

10. The Budget's emphasis on economic stability amid global uncertainty demonstrates risk management. By maintaining stable debt levels and growth momentum, it aims to protect the middle class from external shocks such as oil price volatility or global recession.

Budget Highlights

▪ **Expenditure:** The government is estimated to spend Rs 53,47,315 crore in 2026-27, 7.7% higher than the revised estimate of 2025-26. Interest payments account for 26% of the total expenditure, and 40% of revenue receipts.

▪ **Receipts:** The receipts (other than borrowings) in 2026-27 are estimated to be Rs 36,51,547 crore, about 7.2% higher than the revised estimate of 2025-26. Tax revenue which forms a major part of the receipts is also expected to increase by 8% over the revised estimate for 2025-26.

▪ **GDP:** The government has estimated a nominal GDP growth rate of 10% in 2026-27 (i.e., real growth plus inflation).

▪ **Deficits:** Revenue deficit in 2026-27 is targeted at 1.5% of GDP. This is similar to the revised estimate of 1.5% in 2025- 26. The fiscal deficit in 2026-27 is targeted at 4.3% of GDP, lower than the revised estimate of 4.4% of GDP in 2025-26.

▪ **Debt:** The central government aims to reduce its outstanding liabilities to around 50% of GDP by March 2031. In 2026- 27, outstanding liabilities are estimated to be 55.6% of the GDP.

Fiscal Deficit and Consolidation Strategy

The fiscal deficit target of 4.5% of GDP for 2026, down from 5.1% in the previous year, represents a deliberate step toward consolidation while avoiding disruptive expenditure cuts. With a nominal GDP assumed at approximately ₹340 lakh crore, the projected fiscal deficit of ₹15.3 lakh crore reflects a calibrated reduction in borrowing requirements. The 0.6 percentage point decline may appear modest numerically, but in macroeconomic terms it represents a substantial fiscal correction—amounting to savings of roughly ₹2 lakh crore in additional borrowing compared to maintaining the previous year's ratio. This shift signals credibility to financial markets, global investors, and rating agencies that the

government remains committed to medium-term fiscal discipline rather than postponing consolidation indefinitely

Importantly, this reduction is achieved without compressing capital expenditure, which remains a key driver of growth. The distinction between austerity and consolidation is critical here. Austerity would involve cutting productive spending to meet deficit targets, potentially slowing growth and worsening unemployment. In contrast, gradual consolidation—where the deficit is reduced alongside sustained public investment—allows the economy to expand, thereby increasing the GDP base and improving the debt-to-GDP ratio structurally. By maintaining infrastructure spending while moderating overall borrowing, the government is attempting to balance macroeconomic stability with growth imperatives.

From a debt management perspective, lower annual deficits reduce the pace at which public debt accumulates. Since fiscal deficits are financed primarily through government securities, smaller deficits mean reduced bond issuance. Lower supply of government bonds can ease upward pressure on yields, especially if accompanied by steady monetary policy coordination. This is particularly relevant in an environment where global interest rates remain volatile. By signaling fiscal restraint, the government lowers sovereign risk perception, which in turn can moderate borrowing costs not only for itself but for the broader economy.

For the middle class, the implications are tangible. Lower borrowing reduces the risk of excessive liquidity in the system, which can otherwise translate into inflationary pressures. Inflation disproportionately affects salaried households and fixed-income earners, as wage adjustments often lag behind price increases. A credible path toward deficit reduction reassures markets that inflation will remain contained within the target band, preserving purchasing power.

Additionally, reduced government borrowing can ease pressure on domestic interest rates. When the government borrows heavily, it competes with the private sector for funds, potentially crowding out private credit and raising rates. By moderating its borrowing needs, the government creates space for banks to extend more affordable loans to households and businesses. This directly impacts housing loan EMIs, vehicle loans, and education financing—areas central to middle-class financial planning. Even a 25–50 basis point reduction in interest rates can significantly lower the lifetime cost of a home loan

Furthermore, fiscal consolidation strengthens currency stability. Large deficits can widen current account vulnerabilities and weaken investor confidence, leading to exchange rate volatility. A stable currency reduces imported inflation—especially critical in a country reliant on energy imports. For middle-class households, this stability ensures that fuel prices, transportation costs, and indirectly food prices remain predictable.

However, the success of this consolidation strategy depends on sustained revenue growth and disciplined expenditure management. If revenue projections fall short due to slower growth or external shocks, deficit targets could slip, undermining credibility. Therefore, the fiscal deficit reduction must be supported by structural reforms in taxation and efficient spending allocation.

In essence, the move from 5.1% to 4.5% of GDP is not merely a statistical adjustment; it represents a strategic repositioning of fiscal policy. By combining deficit reduction with continued capital expenditure, the government seeks to maintain growth momentum while reinforcing macroeconomic stability. For the middle class, this translates into lower inflation risks, stable interest rates, sustainable debt levels, and greater predictability in financial planning—key pillars of long-term economic security.

Revenue Growth Performance

Revenue growth performance in Union Budget 2026 forms the backbone of the government's ability to sustain middle-class welfare without increasing unsustainable borrowing. With Gross Tax Revenue estimated at ₹38 lakh crore, reflecting an approximate 11% year-on-year growth, the revenue trajectory indicates resilience despite global economic uncertainties. Of this, Direct Tax collections account for around ₹20 lakh crore, while GST collections contribute approximately ₹9.5 lakh crore, with the remainder coming from customs, excise, and non-tax revenues such as dividends and disinvestment receipts. The structure of this revenue growth is critical because it determines whether fiscal consolidation is durable or merely cyclical.

The most significant feature of revenue performance is the strength in direct taxes. Growth in personal income tax collections suggests rising formalization of the economy, higher compliance, and growth in salaried employment and corporate profitability. For the middle class, this has a dual dimension. On one hand, they remain primary contributors to direct tax revenue, which raises concerns about tax burden concentration. On the other hand, steady direct tax growth without raising rates indicates improved efficiency rather than extraction. The use of digital filing systems, data analytics, and information sharing across agencies has reduced evasion and broadened the tax base. This structural expansion ensures that fiscal space is created without imposing abrupt rate hikes that could dampen disposable income.

GST collections at ₹9.5 lakh crore reflect stable consumption demand and improved compliance under the indirect tax regime. Monthly GST averages indicate steady domestic demand, especially in services and manufacturing. Since GST is consumption-based, its buoyancy signals economic momentum. However, GST has an inflation sensitivity dimension; excessive rate increases would disproportionately impact middle-income households. Therefore, revenue buoyancy achieved through compliance improvements rather than rate changes helps maintain price stability. Strong GST inflows reduce

dependence on borrowing and support deficit reduction goals, indirectly benefiting middle-class borrowers through stable interest conditions.

Non-tax revenues also play an important stabilizing role. Dividends from public sector enterprises and the central bank, along with spectrum auctions and strategic disinvestment, contribute to fiscal resources without burdening taxpayers. These revenues are particularly important in a consolidation phase because they create fiscal buffers. When such inflows are robust, the government can sustain welfare commitments and capital expenditure without compromising deficit targets. For the middle class, this reduces the probability of sudden tax restructuring or surcharge increases.

An 11% growth rate in gross tax revenue, in the context of nominal GDP growth of approximately 10–11%, suggests tax buoyancy slightly above unity. This implies that revenue growth is keeping pace with or slightly exceeding economic expansion. Such buoyancy is essential for medium-term fiscal sustainability. If revenue growth were below GDP growth, the deficit ratio could widen even without additional spending. Therefore, maintaining buoyancy reflects both compliance gains and economic dynamism.

However, revenue projections carry inherent risks. They depend on corporate profitability, employment growth, and consumption momentum. A global slowdown, export contraction, or commodity price shock could moderate tax collections. In such cases, either borrowing would increase or expenditure would need rationalization. Hence, revenue growth must be assessed not only in nominal terms but in terms of sustainability and diversification.

For middle-class welfare, strong revenue performance provides stability. It enables the government to offer targeted tax relief, maintain infrastructure investment, expand healthcare and education spending, and still pursue fiscal consolidation. Revenue growth that is broad-based, compliance-driven, and growth-aligned strengthens the credibility of the fiscal framework. Ultimately, it reduces macroeconomic uncertainty, preserves purchasing power, and supports long-term economic security for middle-income households.

Healthcare Allocation

The healthcare allocation in Union Budget 2026 stands at approximately ₹1.05 lakh crore, reflecting a 12% increase over the previous year's ₹94,000 crore. This rise signals continued prioritization of public health infrastructure after the structural lessons of the pandemic years. The allocation includes expansion of public insurance coverage, strengthening district hospitals, digital health infrastructure under national health missions, and preventive care investments. When measured as a percentage of GDP, public health expenditure remains around 2.2% of GDP, indicating gradual but consistent expansion toward long-term

public health targets.

For the middle class, healthcare spending is a major financial vulnerability. On average, urban middle-income households allocate 10–15% of annual income toward medical expenses, and a single hospitalization event can wipe out savings due to high out-of-pocket costs. Strengthening public hospitals and insurance coverage reduces this risk exposure. Expansion of diagnostic facilities and preventive care also lowers long-term disease burden, which directly improves workforce productivity. Additionally, increased healthcare infrastructure investment generates employment in medical services, pharmaceuticals, and allied sectors, indirectly benefiting middle-class employment opportunities.

From a macroeconomic perspective, healthcare spending is both welfare expenditure and productivity investment. Healthier populations improve labor participation rates and reduce long-term fiscal pressure arising from chronic diseases. Therefore, this allocation is not merely social spending but a long-term growth-enhancing measure that stabilizes household finances and strengthens economic resilience.

Inflation Control and Price Stability

Inflation management remains central to economic stability, with the Consumer Price Index (CPI) projected at 4.8% for 2026, within the formal target band of 4% ± 2%. Food inflation, however, remains relatively elevated at approximately 6%, driven by supply chain disruptions and global commodity volatility. Maintaining inflation within target requires coordination between fiscal policy and monetary policy, particularly with the Reserve Bank of India. A disciplined fiscal deficit target of 4.5% reduces excess liquidity in the economy and limits demand-side inflationary pressures. When government borrowing is restrained, it lowers the risk of overheating and allows monetary authorities to maintain stable interest rates. For the middle class, inflation is effectively a hidden tax. Salaried individuals often face delayed wage adjustments while prices of essentials such as fuel, education, healthcare, and housing rise steadily. Persistent inflation erodes purchasing power and reduces real savings returns

Price stability also supports long-term financial planning. Fixed-income instruments, pensions, and savings deposits depend on predictable inflation to preserve real value. Even moderate deviations from target can reduce real returns significantly over time. Therefore, a combination of prudent fiscal management, buffer food stocks, stable fuel pricing strategies, and supply-side interventions ensures that inflation remains contained. For middle-income households managing EMIs, education fees, and daily living expenses, stable prices are as important as direct tax relief.

Debt Management and Debt-to-GDP Ratio.

Total public debt for 2026 is projected at approximately ₹170 lakh crore, with the debt-to-GDP ratio declining from 52% to around 50%. While absolute debt levels have increased over the past decade due to pandemic-related borrowing, the stabilization and gradual reduction of the debt ratio signal fiscal normalization. Debt sustainability depends not only on the level of debt but on the relationship between interest rates and GDP growth. As long as nominal GDP growth exceeds the average cost of borrowing, debt remains manageable.

Lowering the debt-to-GDP ratio enhances sovereign credibility in global markets and improves credit rating outlook. This reduces borrowing costs for the government and indirectly for the private sector. When sovereign bond yields decline, banks can lend at lower rates, benefiting middle-class borrowers seeking housing, vehicle, or education loans. Debt management also influences currency stability. Excessive debt can weaken investor confidence, causing capital outflows and exchange rate volatility.

From a generational perspective, sustainable debt levels prevent intergenerational inequity. High debt implies future tax burdens to service interest obligations. By stabilizing the ratio at 50%, the government signals that future taxpayers—largely today's middle class and their children—will not face disproportionate fiscal pressure. Effective debt management, therefore, underpins long-term economic security and financial stability.

Capital Expenditure Push

Capital expenditure for 2026 is estimated at ₹12 lakh crore, reflecting an 18% year-on-year increase, and accounting for nearly 28% of total government expenditure. Major allocations include ₹2.8 lakh crore for roads and highways, ₹2.6 lakh crore for railways, and ₹75,000 crore for renewable and green energy initiatives. The emphasis on infrastructure development reflects a strategic growth-oriented fiscal approach

Capital expenditure carries a high multiplier effect—estimated between 2.0 and 2.5 times the initial spending—meaning that every rupee invested can generate more than two rupees in economic output over time. Infrastructure projects create employment in construction, manufacturing, and services, directly benefiting urban and semi-urban middle-class workers. Improved logistics reduce transportation costs, lower supply chain inefficiencies, and stabilize prices of goods, indirectly supporting purchasing power.

Furthermore, infrastructure expansion enhances private investment confidence. When public investment builds foundational assets such as highways, ports, and digital networks, private enterprises are more

likely to invest in complementary sectors. This crowding-in effect stimulates job creation in technology, manufacturing, and services. For the middle class, sustained capital expenditure translates into job security, wage growth, and asset appreciation—particularly in housing markets near infrastructure corridors.

Unlike revenue expenditure, which primarily sustains current consumption, capital expenditure builds future productive capacity. By maintaining high capex levels while reducing the fiscal deficit, the government demonstrates a shift toward quality expenditure. This strategy ensures that fiscal consolidation does not compromise growth potential, thereby safeguarding both short-term stability and long-term prosperity.

Regards,
Rishabh Singh,
Chairperson - AIPPM